

Greater China Industrials

FA channel check: order growth accelerated in April

Industry Overview

China April manufacturing PMI flattish MoM at 50.3

China's April official manufacturing PMI came in at 50.3, flattish MoM vs. 50.4 in March and still in the expansion zone. S&P Global China Manufacturing PMI (previously Caixin Manufacturing PMI, mainly focusing on medium-to-small export-oriented firms) grew 1.4 MoM to 52.2 in Apr, remaining in the expansion zone and hitting a new high since 2021.

April orders growth picked up MoM

Hiwin's April sales were up 21% YoY (vs. +17% YoY in Mar). Currently, the lead time of its linear guide/ball screw has risen to 3.5/4.5-5 months, up from 3/3 months at end-Feb, thanks to solid demand from AI-related (server, cooling, optical transceiver), machine tool, semiconductor and battery. AirTAC's April sales grew 21% YoY in RMB terms (vs. +16% YoY in Mar). Shipments from battery, electronics, machine tool, textile and general machinery showed a higher growth rate. The company has also hiked its selling price in the overseas market. Haitian's April orders saw 0-5% YoY growth (vs. single-digit YoY decline in Mar). Its domestic orders grew >10% YoY in April, while its overseas orders declined >10% YoY.

Solid demand growth from AI-related and semis

Yiheda's orders and shipments remained solid in April, with demand from semiconductor sector picking up MoM. Xinje's April orders grew c.40% YoY (vs. 25-30% YoY in Mar), with solid order growth from laser equipment, precision cutting, battery and packaging. Precision Tsugami China's orders growth also accelerated in April (vs. >30% YoY in March), mainly supported by solid demand from 3C, cooling and auto.

Servo/inverter April sales +5%/-6% YoY

Our value-chain checks suggest the combined China sales of servo from major global companies (Yaskawa, Panasonic, and Delta) grew 5% YoY in April (vs. +10% YoY in Mar). Sales of low-voltage inverters from major global firms (Yaskawa, ABB) declined 6% YoY in April (vs. -12% YoY in Mar).

CATL's/BYD's planned battery production to edge up MoM

Our supply-chain checks suggest CATL's planned production at 93.5GWh in May, +65% YoY/+9% MoM. BYD's planned battery production is 28.1GWh in May, +16% YoY/+8% MoM. EVE's planned production is projected at 15.0GWh, +98% YoY/+13% MoM. CALB's production is forecast at 13.8GWh, +44% YoY/+1% MoM. Gotion's planned production will likely be 12.9GWh, +123% YoY/+7% MoM.

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Equity
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PMI: Purchasing managers' index

FA: Factory automation

EV: Electric vehicle

ESS: Energy storage system

LV: Low-voltage

PLC: Programmable logic controller

3C: Computer, communication and
consumer electronics

AI: Artificial intelligence

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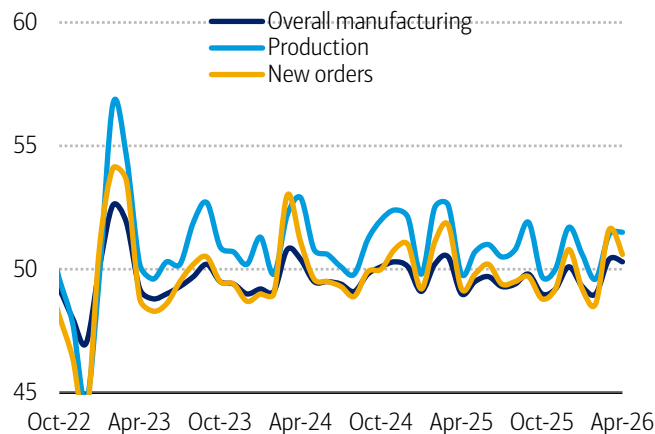
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Key charts

Exhibit 1: China manufacturing PMI

Manufacturing PMI edged down to 50.3 in April

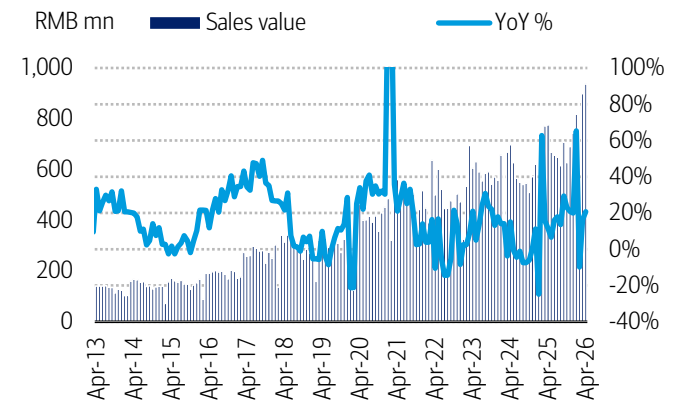


Source: NBS, BofA Global Research

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Exhibit 2: AirTAC monthly sales revenue and YoY growth

AirTAC's sales in April were up 21% YoY in RMB terms

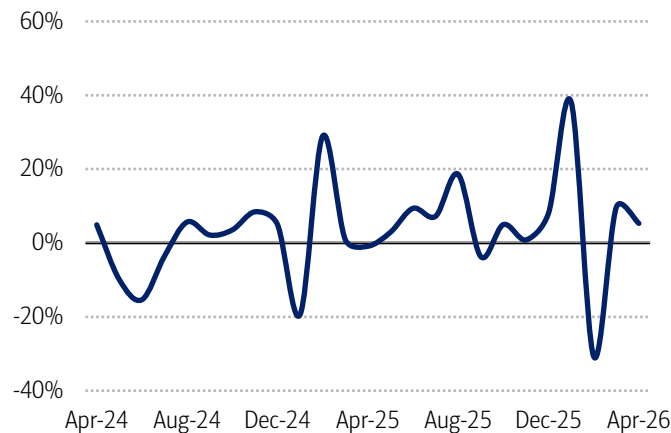


Source: AirTAC, BofA Global Research

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Exhibit 3: China sales growth of major global servo players

Sales of servo from major global firms* grew 5% YoY in April

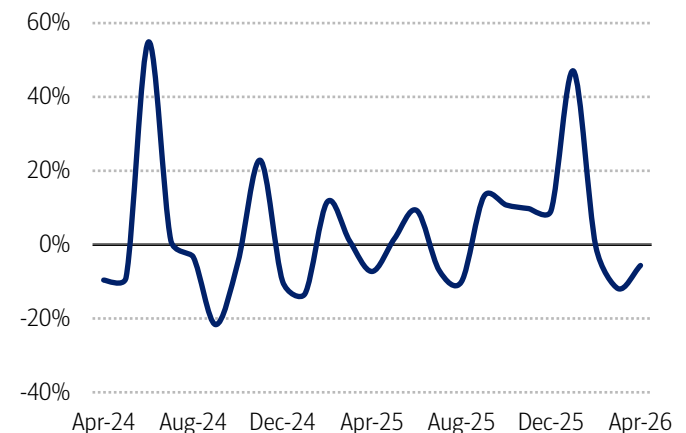


Source: MIR Databank, BofA Global Research; * including Yaskawa, Panasonic, Delta

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Exhibit 4: China sales growth of major global LV inverter players

Sales of LV inverter from major global firms* declined 6% YoY in April



Source: MIR Databank, BofA Global Research; * including Yaskawa and ABB

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Exhibit 5: Battery (include EV + ESS + consumer electronics battery) production by top 5 suppliers

CATL's/BYD's planned battery production +9%/+8% MoM in May

(GWh)	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26E
CATL	56.3	56.5	58.6	61.8	64.5	70.5	73.5	75.0	77.5	75.5	67.0	82.0	85.5	93.5
BYD	25.3	24.3	22.3	21.4	23.4	24.8	26.0	27.0	27.0	24.8	21.2	26.0	26.1	28.1
EVE	7.1	7.6	8.4	8.4	9.8	10.4	11.9	12.2	12.2	12.2	10.8	13.1	13.3	15.0
CALB	8.2	9.6	9.1	8.9	9.3	10.7	12.5	13.0	13.2	12.4	9.5	12.8	13.7	13.8
Gotion	5.8	5.8	6.8	8.8	9.0	10.1	11.8	12.1	12.1	11.1	9.3	11.3	12.1	12.9
Industry *	141.2	142.0	143.5	154.8	164.9	180.9	194.9	199.6	203.8	195.2	165.4	208.4		

Source: ICCSino *We include select EV battery suppliers

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